

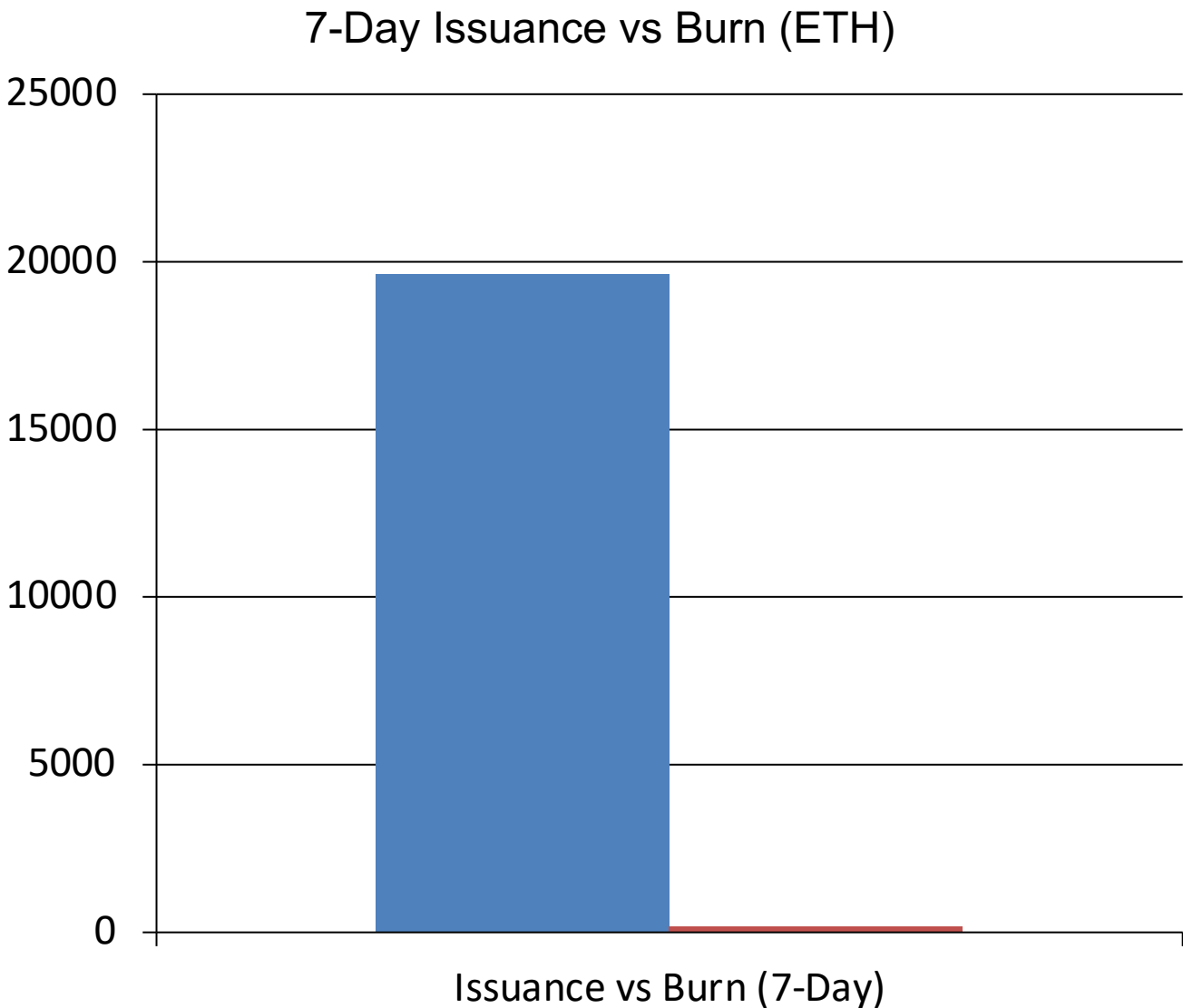
Ultra Sound Money: Ethereum's Supply Dynamics & Monetary Thesis

Ethereum's Post-Merge Supply
Dynamics and Monetary Premium

Current supply ~121.6M ETH |
Current gas ~0.1 Gwei | ETH price
~\$2,243

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

+19,445.89 ETH net change (7 days)
19,638.29 ETH issued
192.39 ETH burned
Issuance offset ratio: 0.01x (~1%)
Current supply: 121,603,980 ETH



Base Gas at Historic Lows: 0.1 Gwei

Average Suppresses Fee Burn

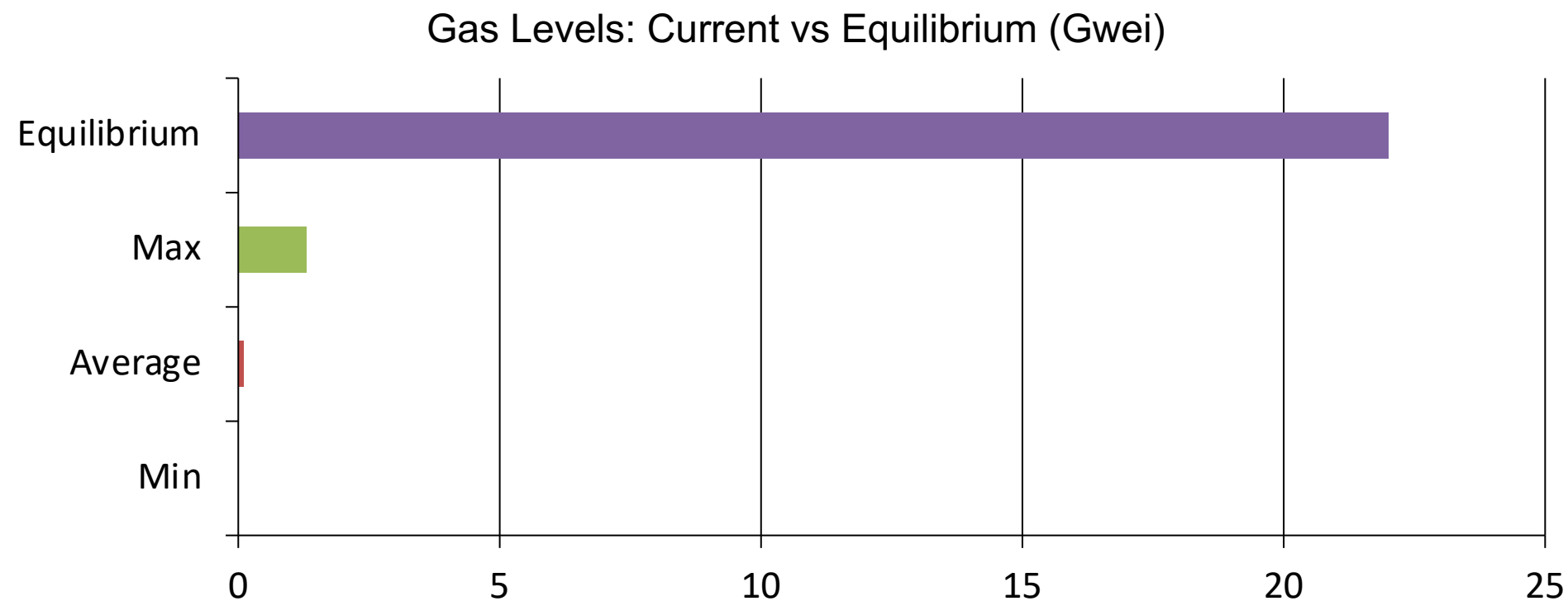
EIP-1559 burn mechanism requires network activity to deflate supply.

7-Day Gas Market: Min 0.0 Gwei | Max 1.3 Gwei | Average 0.1 Gwei

Blob Gas (EIP-4844): Avg ~7.1M wei, only 0.15 ETH (\$319) burned over 7 days.

Long-term projections assume 22 Gwei equilibrium—far above current levels.

Conclusion: Low gas = low burn = temporary supply inflation.



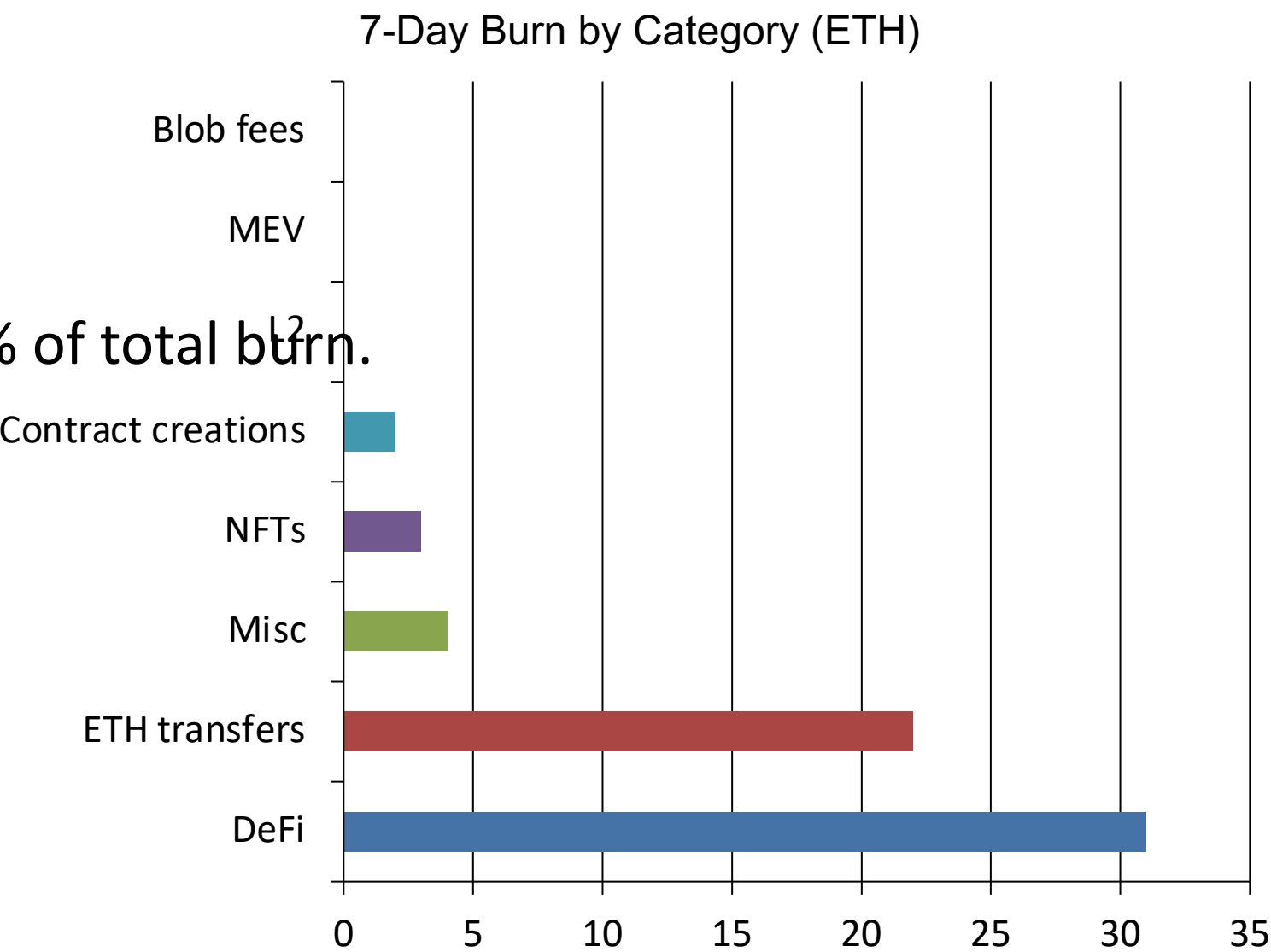
DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Total 7-day burn: ~192 ETH

Top Burn Leaders:

- ETH transfers: 21.74 ETH
- Tether USDT: 13.55 ETH

DeFi & ETH Transfers account for ~85% of total burn.



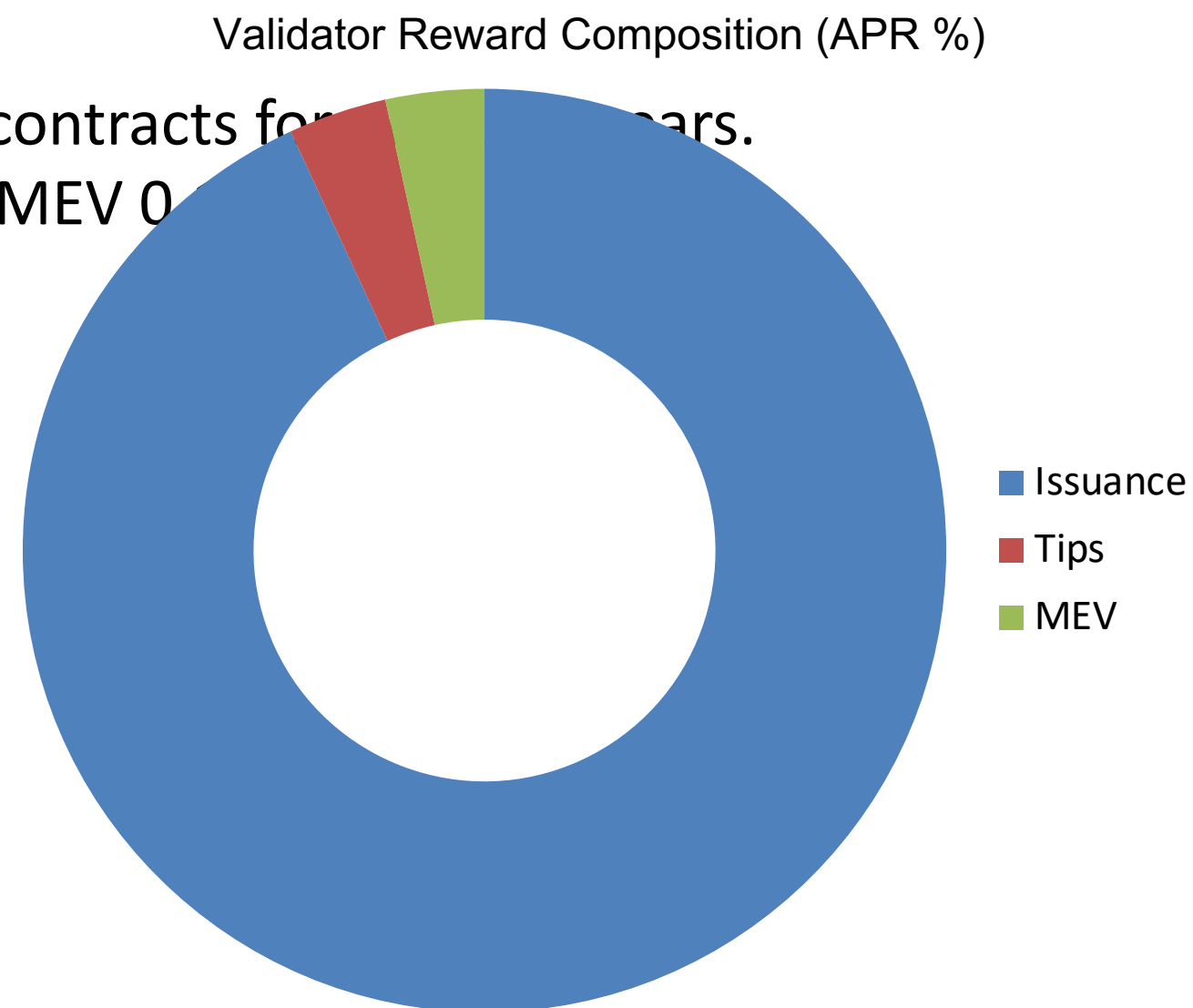
38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

38.9M ETH staked (~32% of total supply).

Scarcity engine: 9.1M ETH locked in staking contracts for 2 years.

Total APR: ~2.9% (Issuance 2.7%, Tips 0.1%, MEV 0.1%)

PoS issuance runs at ~2,800 ETH/day.



Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

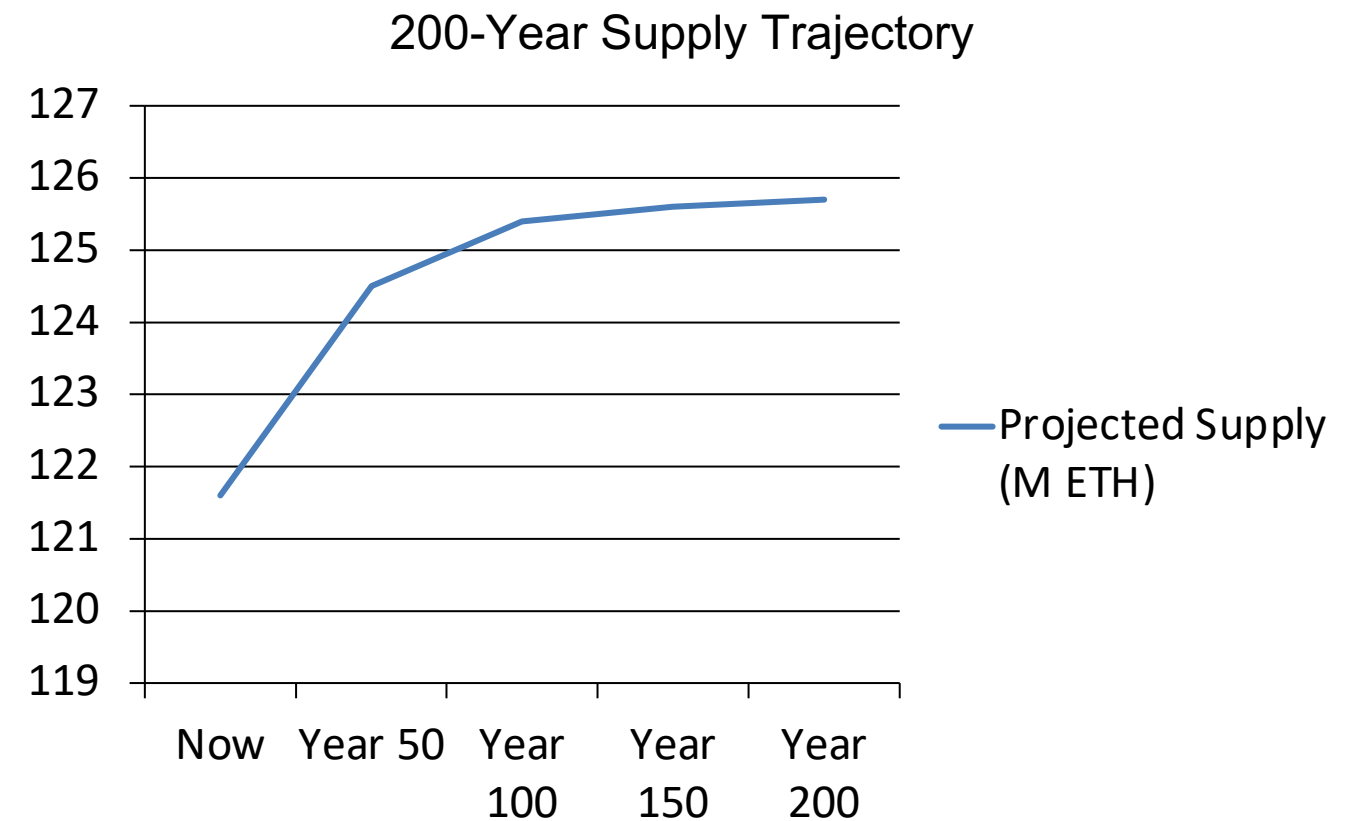
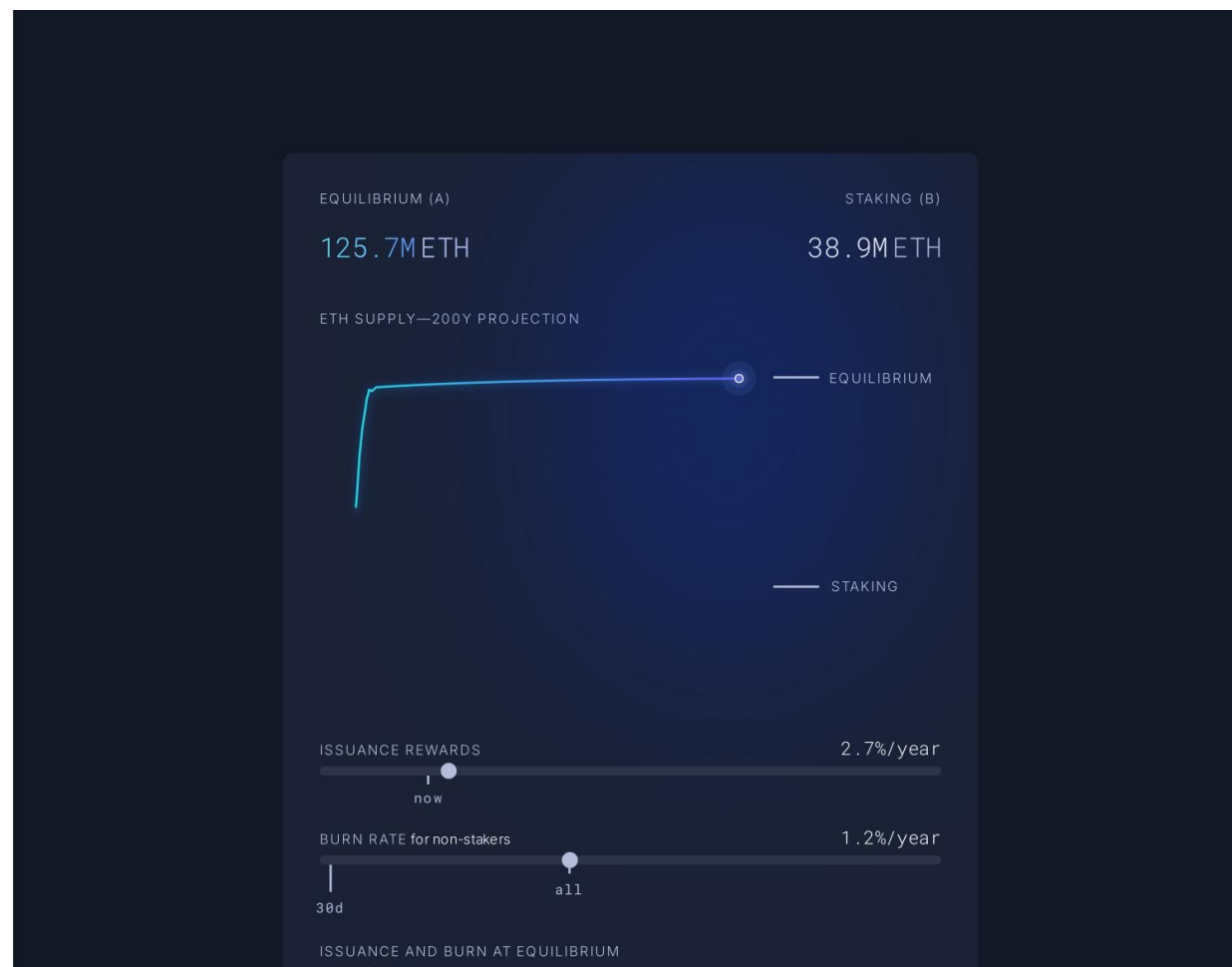
200-year supply projection converges to 125.7M ETH equilibrium.

Equilibrium assumptions: 39M ETH staked, 22 Gwei average base gas price.

At equilibrium: Issuance and burn balance at ~1,037K ETH/year.

PoS issuance vs Burn: 2.8K ETH/day vs 2.2K ETH/day.

Historical eras transition (Genesis -> Byzantium -> Merge) flattened supply growth.



ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Market Cap Ratios:

- Bitcoin: 18.70%
- USD: 1.30%
- Gold: 0.89%

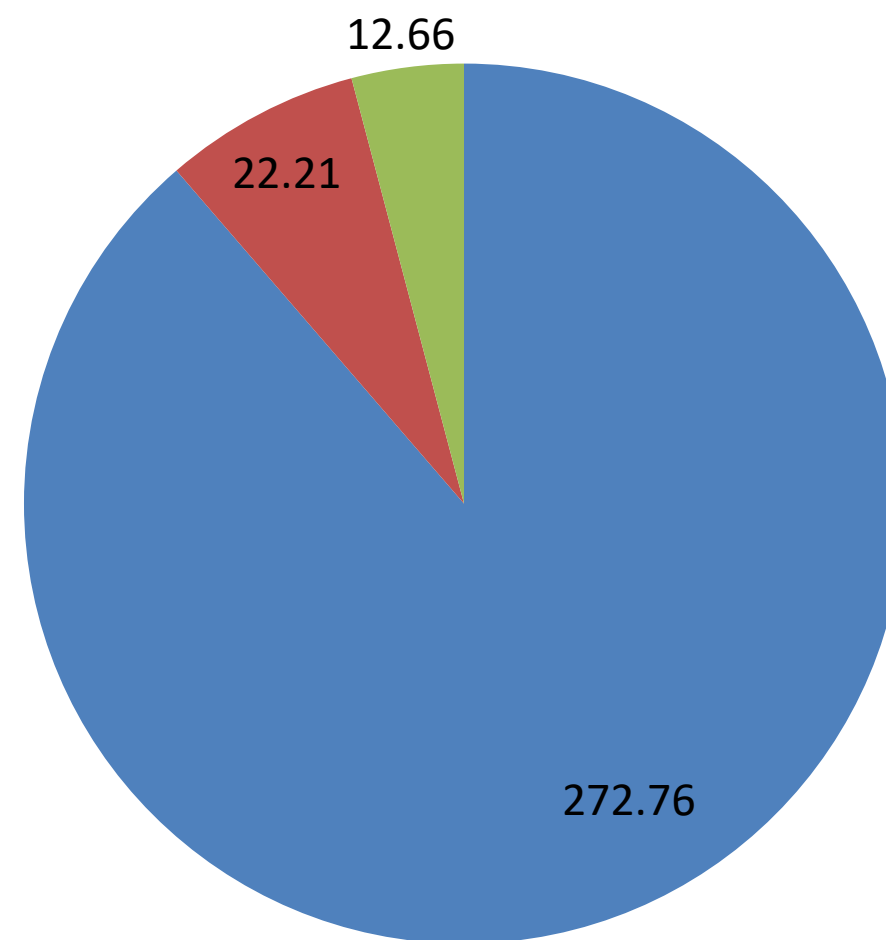
Top ERC20s:

- Dai: \$4.41B
- Shiba Inu: \$3.51B

Top NFTs:

- CryptoPunks: \$2.13B

Total Value Secured: ~\$307.6B



Key Takeaways: Ultra Sound Money Thesis

Intact but Gas Activity Is the Critical Variable

- ETH is currently slightly inflationary at +0.83%/yr due to historically low gas (avg 0.1 Gwei).
- The EIP-1559 burn mechanism works effectively but requires sustained on-chain activity to deflate supply.
- Staking creates a massive supply lock: 38.9M ETH (~32% of supply) is secured by validators.
- Long-term equilibrium at 125.7M ETH is structurally sound under a 22 Gwei average fee assumption.
- With a \$307B+ Total Value Secured and growing market cap ratios, ETH's monetary premium is expanding.